on eight Boeing 737-400s, which expire in 2006. THY expects a need for 35 additional planes to meet future flight demand. This project, valued at more than USD 2.9 billion (approximately 85 percent U.S. export content), is one of the largest projects in Turkey in the past several years. The German Chancellor and the French President have raised the upcoming THY acquisitions, on Airbus' behalf, with Prime Minister Erdogan in previous discussions.

3. (S) According to our Boeing contacts, Rafi Harlev, an Israeli national and former Director General of El Al, approached Boeing in March 2004 and introduced Boeing to a Turkish businessman named Mehmet Emin Erkan, Chairman, ERKAN Companies Group, and an Israeli businessman named Ramiz Aydasgil, Managing Partner, ExaGlobal Partnership. Mr. Erkan advised Boeing that the Turkish Finance Minister was interested in meeting with Boeing to discuss THYs acquisition, and volunteered to arrange the meeting with the Finance Minister. (Comment: Senior THY management reports to the Finance Minister. End Comment).

4. (C) During Boeing's meeting with the Finance Minister, the Minister told Boeing that Mr. Erkan understands the airline business well and is fully aware of THYs requirements. Immediately following the meeting with the Finance Minister, Mr. Erkan asked Boeing to retain him as their consultant in Turkey to ensure Boeing's success in this market. Boeing declined Erkan's request.

5. (C) Comment: Post remains concerned about extensive lobbying by senior EU officals and the heads of state of Germany and France on behalf of Airbus. The Finance Minister is scheduled to meet with Airbus in Paris later this week. Post recommends that Washington agencies use all available opportunities to impress their GOT interlocutors on the importance we attach to transparency in THYs acquisition. Post will continue its active advocacy on behalf of Boeing.

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